

BOARD OF CBA

MINUTES (07.02.2012)

Refinancing Rate for February of 2012

The 7th of February 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Armenak Darbinyan, Oleg Aghasyan, Aharon Chilingaryan, and Vakhtang Abrahamyan.

The Board Meeting, which followed the endorsement of the Monetary Policy Program for Q1 2012, started with presentation of current developments on inflation, external environment and real, fiscal and monetary sectors. In January of 2012, the 12-month inflation was 4.8 percent, which is within the confidence band of 4%[±]1.5 pp. Increased prices of food products had 3.1 pp of contribution to the 12-month inflation.

According to official statistics, in January of 2012, relative to the previous month, 3.6 percent inflation was recorded, the 3.3 pp of which driven by 6.2 percent increase in prices of food products. The fruit and vegetable price increase alone made as much as 3 pp of contribution to the inflation. Prices of non-food products fell by 0.4 percent, making - 0.06 pp of contribution to the inflation; service tariffs rose by 0.7 percent, with their 0.2 pp of contribution to the inflation.

In December of 2011, the Economic Activity Indicator, EAI, made up 6.1 percent. In the period January-December, relative to the same period of previous time, EAI was estimated to be 5.9 percent. In the period January-December, relative to the same period of previous time, the growth of output volumes in industry has been 14.1 percent, and in agriculture, 14.1 percent, mostly due to 26.6 percent increase and 0.1 percent increase reported, respectively, in *plant growing* and *animal breeding*. The service volumes have grown by 6.1 percent, the trade volumes, by 3.5 percent. Whereas construction reported 11.5 percent decline, which is, once again, due to contracted volumes of construction financed by international loans, organizations and households (which is explained by accomplished projects in agriculture, irrigation and energy, on the one hand, and delayed projects in major road construction and infrastructure development, on the other).

External trade turnover indicators suggest that the growth rates of both export and import remain strong: in the period January-December of 2011, relative to the same period of the previous time, export (FOB) and import (CIF) both have grown by 27.7 percent and 10.7 percent, respectively.

The developments in the financial market for January were as follows: average market repo rate was 11.42 percent, almost the same in relation to the December indicator, and interbank repo rate rose by 0.76 pp and amounted to 11.00 percent. Also, average market rate of treasury bills with up to 1-year of maturity did not change much compared with the previous month's indicator and reached 10.64 percent.

In January of 2012, relative to the previous month, the average dram exchange rate performed as follows: the dram depreciated versus the dollar by 1.11 percent and

reached AMD 387.53; the dram appreciated versus Euro by 0.86 percent and amounted to AMD 500.33, and the dram depreciated versus the ruble by 2.17 percent and reached AMD 12.16. Relative to January of the previous year, the average dram exchange rate behavior had been as follows: AMD depreciated by 5.83 percent versus USD, by 2.38 percent versus EUR, and by 2.17 percent versus RUB.

In view of the said developments in the financial market, the monetary indicators performed, as of the end of January, in the following manner: the 12-month growth of dram broad money was 28.4 percent owing to 44.2 percent and 16.7 percent increases in dram deposits and currency, respectively. The 12-month growth of foreign currency deposits was 19.8 percent (12.5 percent, when impact of the change in exchange rate is excluded) and the growth of broad money was 24.5 percent. In the meantime, the dollarization has subdued by 3.8 percent. Growth rates of economy lending remained strong, 35.1 percent. Moreover, lending in dram has grown by 24.7 percent.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

Though uncertainties over deciding on solution to the debt crisis in the Euro-area as well as risks deriving therefrom persisted, in January, however, the U.S.A., Germany and China saw positive signs in their industrial production indexes. Amidst these developments, international prices of raw materials and industrial products showed weak inflationary trends. Apart from an increase of industrial demand, continued conflicts between Iran and the western world (Euro-area, U.S.A.) added to the oil price dynamics. In January, the prices in world food markets grew to some extent (the FAO index rose by 1.9 percent). The increase in wheat prices was driven by expectations for possible loss of the crops due to cold weather conditions in the main producer countries, Russia and Ukraine among them.

In the light of some positive signs of recovering of economic activity on a ground still vulnerable, in January the European Central Bank and the U.S. Federal Reserve System withheld from changing the policy rates. Furthermore, the Fed announced its decision to keep interest rates low up until end-2014.

The Board agreed that the Armenian economy progresses in line with baseline scenario presented in monetary policy programs. In spite of persisting uncertainties over the global economic development, some advanced countries saw positive trends of economic activity and a slight increase in international prices of raw materials and food products.

Under the baseline scenario, the fiscal sector and private spending and the labor market keep on bringing neutral impact on to the domestic inflation environment.

In the development perspective, the 12-month inflation is expected to remain within the confidence band of 4%±1.5 pp.

The Central Bank will continue to keep an 8 percent level for the policy rate, which will be going to leave a neutral effect on the inflation environment.

In the 7th of February 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were left at 11.0 percent and 5.0 percent, respectively.